

Quarterly Business Review — Q4 2025

Financial Performance, Customer Metrics & Product Update | Prepared for Board

1. Q4 2025 Financial Performance

TechViet Solutions closed Q4 2025 with consolidated revenue of VND 48.7 billion, representing 23% year-over-year growth and exceeding the quarterly target of VND 45 billion by 8.2%. This was the strongest quarter in the company's history, driven primarily by enterprise ChatAssist license expansions and three new enterprise deals closed in November. The revenue breakdown by product line is: ChatAssist Platform: VND 38.2 billion (78% of total, up from 71% in Q4 2024), reflecting the successful upselling of advanced AI features to the existing customer base. Professional Services: VND 6.8 billion (14%), driven by implementation projects for the three new enterprise customers. Custom Development: VND 3.7 billion (8%), primarily from the ongoing Saigon Commercial Bank chatbot project. Gross margin improved to 72.3%, up from 68.1% in Q3 2025 and 65.4% in Q4 2024. The improvement is attributable to three factors: the shift toward the higher-margin ChatAssist product (which has an 82% gross margin due to its SaaS delivery model), the completion of two low-margin custom development projects that had been dragging on the overall margin, and a 15% reduction in cloud infrastructure costs achieved through the Reserved Instance commitment negotiated in September 2025. Operating expenses totaled VND 32.1 billion, with the largest categories being personnel costs (VND 22.5 billion, or 70% of OPEX), cloud infrastructure (VND 4.8 billion), office and facilities (VND 2.3 billion), and sales and marketing (VND 2.5 billion). EBITDA for Q4 was VND 16.6 billion, representing a 34.1% EBITDA margin — the first quarter exceeding 30%, a milestone the Board had set as a target for the company's pre-IPO financial profile. Net income after tax was VND 12.8 billion, with an effective tax rate of 20% (standard Vietnamese corporate income tax rate, with no special incentives applicable in Q4). Cash and cash equivalents at quarter-end were VND 85.2 billion, providing approximately 8 months of operating runway at current burn rates. The company generated VND 14.3 billion in operating cash flow during Q4, marking the third consecutive quarter of positive free cash flow.

2. Customer Metrics and Churn Analysis

TechViet ended Q4 2025 with 127 paying customers (up from 108 at the end of Q3), broken down as: Enterprise (annual contract value > VND 500 million): 23 customers generating VND 142 billion ARR, Mid-Market (VND 100-500 million ACV): 41 customers generating VND 38 billion ARR, SMB (< VND 100 million ACV): 63 customers generating VND 12 billion ARR. The enterprise segment continues to be the growth engine, with Net Revenue Retention (NRR) of 132% — meaning that the existing enterprise customer base expanded their spending by 32% compared to the prior year, even after accounting for churn and contraction. Q4 churn: 5 customers churned during Q4, all in the SMB segment, with a combined ARR loss of VND 1.8 billion. The churn reasons were: 2 customers cited budget cuts (both were startups that reduced their SaaS spending broadly), 2 customers switched to a competitor (Kore.ai) citing lower pricing for their use case (simple FAQ chatbot without AI features), and 1 customer's business was acquired and the parent company standardized on their existing chatbot vendor. The gross churn rate of 3.9% (by customer count) is within the target range of <5%, but the team noted a concerning pattern: 3 of the 5 churned customers had declining usage metrics for at least 2 months before churning, but the

Customer Success team's early warning system did not flag them because the usage decline threshold is set at 50% month-over-month, which is too aggressive for customers with seasonal usage patterns. The Customer Success team has proposed adjusting the early warning algorithm to use a 3-month rolling average with a 30% decline threshold instead of the month-over-month metric. They have also proposed a new 'health score' model that combines usage data (40% weight), support ticket sentiment (25% weight), NPS survey responses (20% weight), and stakeholder engagement (15% weight) to provide a more holistic view of customer health. This model will be implemented in Q1 2026 using the data pipeline's analytics capabilities.

3. Product Development Update

The Engineering team delivered 47 features and 163 bug fixes during Q4 2025, with a sprint velocity that averaged 112 story points per sprint across the 4 product teams (up from 98 in Q3, a 14% improvement). The most significant deliverables were: ChatAssist v2.3 release (November 15): this major release introduced three flagship features — multi-language support (Vietnamese, English, Japanese, and Korean) using the fine-tuned multilingual model, conversation analytics dashboard with real-time metrics for enterprise customers, and the Agent Assist feature that provides AI-suggested responses to human agents during hybrid conversations. The v2.3 release was the largest release in TechViet's history, with 23,847 lines of code added across 412 pull requests. The release went smoothly with no rollbacks required, which the Engineering team attributes to the comprehensive testing strategy (95% unit test coverage, end-to-end tests for all critical user flows, and a 2-week internal dogfooding period before customer release). Knowledge Base v2 (December 3): a complete rewrite of the knowledge retrieval system, replacing the legacy keyword-based search with a hybrid approach combining BM25 (for exact keyword matching) and dense vector retrieval (using the fine-tuned multilingual-e5-large embedding model). Internal benchmarks show a 28% improvement in retrieval precision and a 19% improvement in end-to-end answer accuracy compared to v1. Enterprise customers who participated in the beta program reported a 15% reduction in escalation-to-human rates, directly translating to cost savings for their support operations. API v3 (December 18): the third major version of the ChatAssist public API, introducing WebSocket support for real-time streaming responses, batch message endpoints for bulk operations, and a new webhook delivery system with guaranteed delivery and automatic retry. The API v3 also includes comprehensive TypeScript and Python SDK libraries, reducing the integration effort for new customers from an average of 5 days to 1 day.

4. People and Organization

TechViet's headcount grew from 320 to 350 during Q4 2025 (a net increase of 30 employees), with 38 new hires and 8 departures. The 8 departures represent a quarterly attrition rate of 2.5%, annualized to approximately 10% — in line with the Vietnamese tech industry average of 11% (per the TopDev 2025 salary report) but above TechViet's internal target of 8%. Of the 8 departures, 4 were voluntary resignations (2 engineers who left for higher-paying offers at international tech companies, 1 product manager who relocated to another city, and 1 QA engineer who returned to university for a master's degree), 2 were involuntary terminations (for performance reasons, following the PIP process), and 2 were end-of-contract for fixed-term employees who were not converted to permanent status. The most notable organizational change in Q4 was the creation of the Platform Engineering team, a new team of 6 engineers (3 hired externally, 3 transferred from existing teams) dedicated to building and maintaining the shared infrastructure that supports all product teams. This team is responsible for the Kubernetes platform, CI/CD pipelines, monitoring infrastructure, and developer experience tools. The decision to create this team was driven by feedback from the annual developer survey, where 62% of engineers reported spending more than 20% of their time on infrastructure-related tasks that could be abstracted into platform services. The Q4 employee engagement survey (conducted by Qualtrics, with an 89% participation rate)

showed an overall engagement score of 4.1/5.0, unchanged from Q3. The highest-scoring areas were: 'I am proud to work at TechViet' (4.5/5.0), 'My team collaborates effectively' (4.3/5.0), and 'I have opportunities to learn and grow' (4.2/5.0). The lowest-scoring areas were: 'I feel adequately compensated for my work' (3.6/5.0), 'TechViet's internal processes are efficient' (3.4/5.0), and 'I have a clear career path' (3.5/5.0). The People & Culture team has identified the compensation and career path scores as priority areas for Q1 2026, with plans to: conduct a comprehensive compensation benchmarking exercise using the Mercer salary survey, launch a formal career ladder framework for all departments (currently only Engineering has a defined ladder), and implement skip-level 1-on-1 meetings between employees and their manager's manager to provide additional perspective on career development.